

MERIDIAN TECHNOLOGIES

Annual Board Strategic Review

CEO Opening Statement · May 2026 · ~5 minutes

OPENING

Thank you. Before we move into the prepared agenda, I want to take five minutes to give you my honest read on where this company stands — not the investor-relations version, but the CEO version.

I have been in this role for fifteen months. I have spent time with our largest customers, our board, and every layer of this organization. What I want to share today is what I have concluded, what concerns me, and what I am asking from you.

WHERE WE STAND

The headline numbers are solid. Full-year 2025 revenue of four hundred million dollars, up eleven percent. Operating margin of twelve percent, up from five percent three years ago. Four hundred sixty-three million in cash and no debt. Free cash flow margin approaching eighteen percent.

Those numbers deserve acknowledgment. Lenore built a financially disciplined business, and this team has continued that discipline through a transition year. I am proud of it.

And I want to be equally honest about what those numbers conceal. Revenue growth has decelerated every single year — twenty-eight percent in 2022, sixteen in 2024, eleven in 2025, and we are guiding ten to fourteen for 2026. That is not a coincidence. That is a structural pattern, and it is the central issue this board needs to help me address.

EXHIBIT 1 — COMPANY FINANCIALS: FULL-YEAR SNAPSHOT

Metric	FY 2022	FY 2023	FY 2024	FY 2025	2026 Guide
Revenue (\$M)	\$260	\$311	\$360	\$400	\$440–455
YoY Revenue Growth	—	+19%	+16%	+11%	+10–14%
ARR (\$M)	\$275	\$328	\$375	\$413	—
Gross Margin	78.0%	78.6%	79.2%	79.6%	—
Operating Margin	5.1%	7.7%	10.0%	12.4%	14–15%
FCF Margin	10.4%	13.9%	16.2%	17.8%	—
Cash (\$M)	\$344	\$392	\$432	\$463	—

Read: Revenue growth decelerates every year as margins expand. The business is more profitable and slower-growing simultaneously — a pattern that demands a deliberate strategic answer in 2026.

ISSUE 1 — GROWTH DECELERATION

The first issue is growth deceleration, and the segment picture explains it precisely. We are not one company — we are three businesses in one P&L, and they are moving in very different directions.

EXHIBIT 2 — SEGMENT ARR: THREE-YEAR MIX SHIFT

Segment	ARR Q4'22	Mix	ARR Q4'25	Mix	YoY	NRR	Churn
Enterprise	~\$74M	27%	~\$167M	40%	+21%	125%	2.6%
Mid-market	~\$96M	35%	~\$194M	47%	+6%	102%	10.2%
SMB	~\$105M	38%	~\$52M	13%	–23%	84%	22.1%
Total	~\$275M	100%	~\$413M	100%	+10%	109%	—

Read: Enterprise has nearly doubled its ARR share (27% → 40%) and is the engine of the business. SMB has collapsed (38% → 13%) and is an active drag. Mid-market, at 47% of ARR, is the swing segment — and at 6% growth with NRR of 102%, it is barely treading water.

The SMB decline costs us approximately thirty million dollars of growth headwind in 2026 alone. I have made the decision to run SMB on a self-funded basis. The segment will stand on its own economics or we will manage it down in a controlled way. We will not subsidize it from enterprise margins.

ISSUE 2 — AI COMPETITIVE POSITION

The second issue is AI. I will not soften this: we were late. Asana shipped their agent in the fall of 2024. We shipped AI Copilot to general availability in September 2025. Asana has since bundled AI into their standard tier. Monday is now larger than us by ARR. ClearAI Work raised a hundred-and-twenty-million-dollar round at a billion-dollar valuation and is taking our SMB.

And yet — the early Copilot numbers give me genuine confidence that we can compete. Seven hundred ten paying seats at year-end, against an internal target of six hundred. A forty-four-percent attach rate on enterprise renewals in Q4, against a target of forty percent. The Helio Labs acquisition — twenty-eight engineers from leading AI labs, a working agent framework — compressed our roadmap by an estimated fifteen months.

EXHIBIT 3 — AI COPILOT RAMP

Quarter	Paying Seats	ARR Contribution	Enterprise Attach Rate
Q4 2024 (closed beta)	0	\$0	—
Q1 2025	0	\$0	—
Q2 2025 (open beta)	140	~\$0.7M	—
Q3 2025 (GA Sep)	420	~\$2.0M	—
Q4 2025	710	~\$3.5M	44% ✓ (target: 40%)

Read: Copilot is early-stage at \$3.5M ARR, but the Q4 attach rate of 44% is the most important leading indicator in this business. If it holds as the enterprise renewal base cycles through 2026, AI becomes a material growth driver — not a cost.

I will share the full AI roadmap at Investor Day on March eleventh. What I will say here is that our enterprise differentiation — FedRAMP Moderate, HIPAA, the governance and audit features that regulated industries require — is where we win, and where Asana does not. We will build our AI strategy around that moat.

ISSUE 3 — ORGANIZATIONAL READINESS

The third issue is internal, and the one I am most focused on. The October employee survey — eighty-one percent response rate — was candid. Thirty-one percent of engineering open-ends cited roadmap thrash as their primary frustration. Nineteen percent of all employees said they cannot clearly articulate what makes Meridian different from Asana with AI. Twenty-seven percent of senior engineers said their compensation is not keeping pace with the market.

EXHIBIT 4 — SALES EFFICIENCY TREND

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q4 2025
Magic Number	1.20	1.16	1.10	1.05	1.02	0.92
CAC Payback (months)	18.2	18.9	19.5	20.4	21.1	22.4
New ARR / Rep (\$K)	\$1,320	\$1,290	\$1,255	\$1,210	\$1,180	\$1,110
NRR — Overall	114%	113%	112%	111%	110%	109%
NRR — Mid-market	108%	107%	106%	105%	104%	102%

Read: Sales efficiency has declined every single quarter for two years. The magic number at 0.92 is a caution signal (below 1.0). Adding quota-carrying headcount is not the answer — productivity per rep must improve.

These numbers tell me that the organization ran hard through a disorienting period — a CEO transition, an AI pivot, a segment reorg, an acquisition — and it is tired. My commitment, starting now, is to give this team a clear strategic direction and to hold it. No more pivots. The direction we set at Investor Day is the direction we execute against for three years.

WHAT I AM ASKING FROM THIS BOARD

Three things, specifically.

1. Alignment on the strategic framing.

At Investor Day I will answer the question "what is Meridian" — project management tool with AI features, or agentic work platform with PM as one surface. The board needs to be aligned before that answer goes public. I am asking for that conversation today.

2. Guidance on the M&A question.

We have two acquisition targets in early diligence. We have four hundred sixty-three million in cash and no debt. The board authorized a buyback; I believe the better use of capital in the next twelve months is targeted acquisition of AI capability. I would like the board's read on risk tolerance and deal size before I bring a specific recommendation.

3. Support on talent.

I am requesting board approval to refresh senior engineering compensation in Q1. The People and Compensation Committee has the details. The risk of inaction — losing fifteen to twenty-five senior engineers in a market where AI talent is scarce — is more expensive than the cost of acting.

The deceleration is real. The enterprise franchise is a genuine asset. The AI gap is closing. The organization needs a steady hand and a clear story. That is what I am here to provide.

Let's get to work.

Catherine Park

President & Chief Executive Officer, Meridian Technologies

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